

Refining Remodeling & Reshaping the *future*



Arpico Insurance PLC
Interim Financial Statements - Quarter 3 - 2024

Income Statement

For the period ended 30 September	Note	Un-Audited 2024 LKR	Un-Audited 2023 LKR
Gross Written Premium	4	1,394,139,702	1,740,901,222
Premium ceded to reinsurers	5	(66,611,974)	(79,141,310)
Net written premium		1,327,527,728	1,661,759,912
Other revenue			
Fees and commission income		17,780,509	25,179,626
Investment income	6	404,626,449	443,660,535
Fair value gains		10,770,042	15,067,802
Other operating revenue		1,550,614	4,125,559
Total Other revenue		434,727,614	488,033,522
Total net revenue		1,762,255,342	2,149,793,434
Benefits, claims and expenses			
Net Insurance Benefits and Claims Paid		(837,821,539)	(1,062,781,014)
Net change in insurance claims outstanding		(8,244,832)	(3,458,627)
Underwriting and net acquisition costs		(411,422,738)	(440,719,729)
Change in contract liabilities - life fund	11	223,357,174	118,574,219
Other operating, administrative and selling expenses		(506,452,869)	(502,251,498)
Depreciation and amortization		(91,753,276)	(74,186,654)
Total benefits, claims and expenses		(1,632,338,080)	(1,964,823,303)
Profit/(Loss) before Taxation		129,917,262	184,970,131
Income Tax Expense	7	(45,688,515)	(52,041,695)
Profit/(Loss) for the Period	8	84,228,747	132,928,436
Profit/(Loss) attributable to:			
Equity holders of the Company		84,228,747	132,928,436
Basic Earning per Share (LKR)		1.27	2.01
Diluted Earning per Share (LKR)		1.27	2.01

Statement of Other Comprehensive Income

For the period ended 30 September	Un-Audited 2024 LKR	Un-Audited 2023 LKR
Profit/(Loss) for the Period	84,228,747	132,928,436
Other Comprehensive Income/(Loss)		
Net change in fair value of available-for-sale financial assets	66,113,022	(192,522,863)
Net change in liabilities of insurance contracts arising from fair value changes in available for sale financial assets	(42,382,314)	
Net change in fair value of AFS reserve transferred to insurance Liabilities	42,382,314	49,815,812
Items that will never be reclassified to profit or loss		
Actuarial loss on defined benefit plan		-
Total Other comprehensive income, net of tax	66,113,022	(142,707,051)
Total comprehensive Income/(Loss) for the Period, Net of Tax	150,341,769	(9,778,615)

Arpico Insurance PLC
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Income Statement

For three months ended 30 September	Un Audited 2024 LKR	Un Audited 2023 LKR
Gross Written Premium	425,494,797	434,817,499
Premium ceded to reinsurers	(22,571,722)	(23,598,306)
Net written premium	402,923,075	411,219,193
Other revenue		
Fees and commission income	5,269,092	6,915,770
Investment income	114,740,671	145,718,897
Fair value gains	3,323,397	5,437,468
Other operating revenue	506,550	626,603
Total Other revenue	123,839,710	158,698,738
Total net revenue	526,762,785	569,917,931
Benefits, claims and expenses		
Net Insurance Benefits and Claims Paid	(257,565,406)	(346,841,064)
Net change in insurance claims outstanding	2,605,711	3,236,678
Underwriting and net acquisition costs	(147,759,945)	(130,952,336)
Change in contract liabilities - life fund	59,556,661	109,600,759
Other operating, administrative and selling expenses	(152,639,969)	(117,419,194)
Depreciation and amortization	(32,375,118)	(26,288,018)
Total benefits, claims and expenses	(528,178,066)	(508,663,175)
Profit/(Loss) before Taxation	(1,415,281)	61,254,756
Income Tax Expense	(10,520,501)	(17,877,065)
Profit/(Loss) for the Period	(11,935,782)	43,377,691
Profit/(Loss) attributable to:		
Equity holders of the Company	(11,935,782)	43,377,691
Basic Earning per Share (LKR)	(0.18)	0.65
Diluted Earning per Share (LKR)	(0.18)	0.65

Statement of Other Comprehensive Income

For three months ended 30 September	Un Audited 2024 LKR	Un Audited 2023 LKR
Profit/(Loss) for the Period	(11,935,782)	43,377,691
Other Comprehensive Income/(Loss)		
Net change in fair value of available-for-sale financial assets	(59,472,772)	(113,943,847)
Net change in liabilities of insurance contracts arising from fair	(9,196,378)	
Net change in fair value of AFS reserve transferred to insurance Liabilities	9,196,378	36,670,013
Items that will never be reclassified to profit or loss		
Total Other comprehensive income, net of tax	(59,472,772)	(77,273,834)
Total comprehensive Income/(Loss) for the Period, Net of Tax	(71,408,554)	(33,896,143)

STATEMENT OF FINANCIAL POSITION

As at	Note	Un-Audited 30.09.2024 LKR	Audited 31.12.2023 LKR
Assets			
Intangible assets		548,993	767,227
Property, plant and equipment		49,475,227	60,343,336
Right of use assets	9	154,042,028	198,167,665
Financial assets	10	3,980,397,042	3,949,884,217
Loans to life policyholders		202,993,892	241,246,301
Reinsurance receivables		-	11,108,850
Amounts due from related parties	12	39,487,237	30,985,542
Premium receivable		60,386,060	91,475,027
Other assets		177,081,021	175,300,704
Cash and cash equivalents		78,797,757	56,396,474
Total Assets		4,743,209,257	4,815,675,345
Equity and Liabilities			
Equity			
Stated capital	15	675,564,870	675,564,870
Retained earnings		854,677,627	770,448,880
Available for sale reserves		30,576,017	(35,537,005)
Total Equity		1,560,818,514	1,410,476,745
Liabilities			
Insurance contract liabilities	11	2,664,888,140	2,885,863,883
Employee benefit obligation		19,757,708	15,667,480
Reinsurance payables		14,637,178	37,579,204
Lease liabilities	9	175,776,573	221,777,381
Amounts due to related parties	12	46,534,807	49,590,990
Other financial liabilities		174,579,105	126,283,782
Other liabilities		86,217,232	68,435,879
Total Liabilities		3,182,390,743	3,405,198,600
Total Equity and Liabilities		4,743,209,257	4,815,675,345

These Financial Statements are prepared in compliance with the requirements of the Companies Act No. 07 of 2007.



S.H. Dulanjith Kaweesha
Financial Controller

The Board of Directors is responsible for the preparation and presentation of these financial statements.
Signed for and on behalf of the board.



Ramal Jasinghe
Chairman
29, October 2024
Colombo.



Kelum Senanayake
Director/Chief Executive Officer

Arpico Insurance PLC
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STATEMENT OF CHANGES IN EQUITY

	Stated Capital LKR	AFS Reserve LKR	Retained Earnings LKR	Total LKR
Audited Balance as at 01 January 2023	675,564,870	(216,693,055)	1,458,445,825	1,917,317,640
Profit for the period			132,928,435	132,928,435
Actuarial loss on defined benefit plan			-	-
Other Comprehensive Income / (Loss)				
Net change in fair value of available-for-sale financial assets		192,522,863		192,522,863
Total Comprehensive Income for the Period, Net of Tax				
Un-Audited Balance as at 30th September 2023	675,564,870	(24,170,192)	1,591,374,260	2,242,768,938
Profit/(Loss) for the period			(816,760,465)	(816,760,465)
Actuarial loss on defined benefit plan			(4,164,915)	(4,164,915)
Other Comprehensive Income / (Loss)				
Net change in fair value of available-for-sale financial assets		(11,366,813)		(11,366,813)
Total Comprehensive Income for the Period, Net of Tax				
Audited Balance as at 31th December 2023	675,564,870	(35,537,005)	770,448,880	1,410,476,745
Profit/(Loss) for the period			84,228,747	84,228,747
Actuarial loss on defined benefit plan				-
Other Comprehensive Income / (Loss)				
Net change in fair value of available-for-sale financial assets		66,113,022		66,113,022
Total Comprehensive Income for the Period, Net of Tax				
Unaudited Balance as at 30 September 2024	675,564,870	30,576,017	854,677,627	1,560,818,514

STATEMENT OF CASH FLOWS

For the period ended 30 September	Un-Audited 2024 LKR	Un-Audited 2023 LKR
Cash flows from operating activities		
Insurance premium received	435,455,498	1,797,139,348
Reinsurance premium paid	(30,800,242)	(28,584,925)
Insurance benefits and claims paid	(262,868,672)	(1,116,489,267)
Reinsurance claim received	3,154,714	36,592,885
Other operating cash flows	(328,105,617)	(1,023,628,334)
Cash generated from operating activities	(183,164,319)	(334,970,293)
Tax Paid	(449,722)	-
Employee benefits paid	(573,940)	(245,527)
Net cash generated from operating activities	(184,187,981)	(335,215,820)
Cash flows from investing activities		
Acquisition of financial investments	(38,498,518)	(1,157,268,327)
Proceeds from sale/maturity of investment securities	144,280,072	(10,521,261)
Interest/Dividend received	114,740,671	897,750,973
Acquisition of property, plant and equipment	(28,701,179)	626,293,682
Net Cash Used in Investing Activities	191,821,046	356,255,067
Net Cash Flows Before Financing Activities	7,633,065	21,039,247
Cash flows from financing activities		
Rent Advance/ payments paid for Right of Use Assets	2,081,001	(11,415,435)
Net cash used in financing activities	2,081,001	-
Net increase / (Decrease) in cash and cash equivalents	9,714,066	9,623,812
Cash and cash equivalents at the beginning of the year	69,083,691	169,799,599
Cash and cash equivalents at the end of the period	78,797,757	179,423,411

Notes to the Financial Statements

1. Reporting Entity

Arpico Insurance PLC ("Company") is a Public limited liability company incorporated and domiciled in Sri Lanka and the ordinary shares of the company are listed on the stock exchange. The company is registered under the Insurance Industry Act No.43 of 2000 and amendments there to. The registered office of the company is located at 310, High level Road, Nawinna, Maharagama and the principal place of business is located at No. 55/20, Vauxhall Lane, Colombo 02.

2. Approval of Financial Statements

The Unaudited Condensed Consolidated Interim Financial Statements for the quarter ended 30th September 2024 were authorized for issue by the Board of Directors on 29th October 2024.

3. Basis of Preparation

The Financial Statements of the Company have been prepared on an accrual basis under the historical cost convention and applied consistently with no adjustment being made for inflationary factors affecting the Financial Statements except for the financial assets available for sale and financial assets designated at fair value through profit or loss which are measured at fair value .

The Condensed Consolidated Interim Financial Statements have been prepared in compliance with Sri Lanka Accounting Standard "LKAS 34 – Interim Financial Reporting". These Interim Financial Statements should be read in conjunction with the Annual Financial Statements for the year ended 31 December 2023. Furthermore, provisions of the Companies Act No. 07 of 2007 have been considered in preparing the Condensed Consolidated Interim Financial Statements of the Company.

The same accounting policies have been followed in preparation of these Interim Financial Statements as stated in the Audited Financial Statements for the year ended 31 December 2023.

4. Gross Written Premium

For the Period Ended 30 September	Un-Audited 2024 LKR	Un-Audited 2023 LKR
First year premium	402,122,335	506,580,983
Renewal premium	745,325,054	843,371,963
Group premium	246,692,313	390,948,276
	1,394,139,702	1,740,901,222

5. Premium Ceded To Reinsurers On Insurance Contracts

For the Period Ended 30 September	Un-Audited 2024	Un-Audited 2023
Conventional policies		
Total premium ceded to reinsurers	66,611,974	77,963,517
Total net written premium	1,327,527,728	1,662,937,705

Notes to the Financial Statements

6. Investment income

For the Period Ended 30 September	Un-Audited 2024 LKR	Un-Audited 2023 LKR
Held to maturity financial assets		
Interest Income	129,758,117	136,871,305
Loans and receivables		
Interest Income	228,371,147	267,871,898
Available For Sale Financial Assets		
Interest Income	46,497,184	38,917,332
	<u>404,626,448</u>	<u>443,660,535</u>

7. Income Tax Expense

For the Period Ended 30 September	Un-Audited 2024 LKR	Un-Audited 2023 LKR
Income tax on current period profit	45,688,515	52,041,695
Total current income tax	<u>45,688,515</u>	<u>52,041,695</u>

8. Profit/(Loss) from life insurance

No surplus or deficit transfer has been made from the life insurance fund to the Income Statement for quarter ended 30th September 2024.

9. Right of Use Assets

As at	Un-Audited 30.09.2024 LKR	Audited 31.12.2023 LKR
Opening balance	198,167,665	163,439,549
Additions of right of use lease asset during the period	15,114,286	120,713,332
Depreciation for the period	(67,777,926)	(98,707,883)
Advance payment for leases	8,538,003	12,722,667
Closing balance	<u>154,042,028</u>	<u>198,167,665</u>

Lease liabilities

As at	Un-Audited 30.09.2024 LKR	Audited 31.12.2023 LKR
Opening balance	221,777,381	175,394,254
Additions during the period	15,114,286	120,713,332
Finance cost recognized in profit and loss	25,080,898	41,208,804
Lease payments	(86,195,992)	(115,539,009)
Closing balance	<u>175,776,573</u>	<u>221,777,381</u>

Notes to the Financial Statements

10. Financial Assets

As at	Un-Audited 30.09.2024 LKR	Audited 31.12.2023 LKR
Loans and receivables (11.1)	2,302,404,146	2,193,341,372
Available-for-sale financial assets (11.2)	605,315,857	547,159,911
Held to Maturity (11.3)	942,229,889	1,091,046,901
Fair Value through profit & Loss (11.4)	130,447,150	118,336,033
	3,980,397,042	3,949,884,217

10.1 Loans and receivables

	Un-Audited 30.09.2024 LKR	Audited 31.12.2023 LKR
Amortized cost		
Debentures	463,269,314	653,557,573
Fixed deposit	1,208,266,520	1,114,975,140
Reverse repurchase agreements	521,489,267	242,836,584
RPAF loan	100,003,164	100,000,000
Treasury bills	9,375,881	81,972,074
	2,302,404,146	2,193,341,372

Available-for-sale financial assets

	Un-Audited 30.09.2024 LKR	Audited 31.12.2023 LKR
10.2 Treasury bonds	295,234,420	300,321,631
Quoted equities	310,081,437	246,838,280
	605,315,857	547,159,911

10.3 Held to Maturity

	Un-Audited 30.09.2024 LKR	Audited 31.12.2023 LKR
Treasury bonds	942,229,889	1,091,046,901
	942,229,889	1,091,046,901

10.4 Fair Value through profit & Loss

	Un-Audited 30.09.2024 LKR	Audited 31.12.2023 LKR
Unit trust	130,447,150	118,336,033
	130,447,150	118,336,033

11. Insurance Contract Liabilities

As at	Un-Audited 30.09.2024 LKR	Audited 31.12.2023 LKR
Balance as at 1 January	2,885,863,000	2,241,859,388
Change in contract liabilities life fund		
Increase in life insurance fund before surplus transfer	(263,357,174)	(357,222,576)
Surplus transferred from / (to) shareholders (Note 11.1)	-	948,956,234
Increase in life insurance fund	2,622,505,826	591,733,658
Movement in AFS reserve transferred to life fund	42,382,314	52,270,837
Life Insurance Fund balance as at period end	2,664,888,140	2,885,863,883

11.1 Surplus transferred from / (to) shareholders

As per the requirement of SLFRS 4, the Liability Adequacy Test with respect to Life insurance provision was performed as at 31st December 2023.

12. Related Party Transactions

12.1 Amounts Due to Related Party

As at		Un-Audited 30.09.2024 LKR	Audited 31.12.2023 LKR
Related Party	Relationship		
Richard Pieris & Company PLC	Ultimate Parent	15,798,993	11,696,838
Richard Pieris Distributors Limited	Fellow Subsidiary	30,735,814	37,894,152
		<u>46,534,807</u>	<u>49,590,990</u>

12.2 Amounts Due From Related Parties

As at		Un-Audited 30.09.2024 LKR	Audited 31.12.2023 LKR
Related Party	Relationship		
Richard Pieris & Company PLC	Ultimate Parent	-	30,985,542
Richard Pieris Distributors Limited	Fellow Subsidiary	39,487,237	-
		<u>39,487,237</u>	<u>30,985,542</u>

13. Contingent Liabilities

Contingent liabilities are not recognized in the Statement of Financial Position but disclosed if there is a possible future obligation as a result of a past event or if there is a present obligation as a result of a past event but either a payment is not probable or the amount cannot be reasonably estimated as at the date of Statement of Financial Position. As at the 30 September 2024, end of the interim period no material capital commitment and contingencies approved by the board and contracted for which no provision has been made in interim financial statements.

14. Events Occurring After The Reporting Date

The directors give due consideration to and where necessary adjustments or disclosures are made in the current Financial Statements in respect of material post Statement of financial position events as appropriate. There have been no material event occurring after the reporting date that require adjustments to or disclosure in the interim financial statements.

15. Stated Capital

As at 30 September	Un-Audited 2024 LKR	Audited 2023 LKR
Ordinary Shares	675,564,870	675,564,870
	<u>675,564,870</u>	<u>675,564,870</u>
No of Ordinary Shares	66,230,407	66,230,407

16. Share Information

16.1 Net Assets Per Share

As at 30 September	Un-Audited 2024 LKR	Un-Audited 2023 LKR
Net Assets Per Share	23.57	33.86

16.2 Market Price Per Share

For the quarter ended 30 September	2024 LKR	2023 LKR
Highest Price	24.50	25.50
Lowest Price	20.00	24.80
Closing Price	22.00	25.50
Market Capitalization	1,457,068,954	1,688,875,379
Float Adjusted Market capitalization	145,868,888	169,056,425

17. Public Shareholding

For the quarter ended 30 September	2024 No of Shares	%	2023 No of Shares	%
Public Shareholding	6,630,404	10%	6,630,404	10%

18. Directors' Shareholding

As at 30 September	2024	2023
Mrs. Lasinee Serasinhe (Ceased to hold office w.e.f. 27th May 2024)	N/A	Nil
Mr.Ramal Jasinghe	Nil	Nil
Mr.Kelum Senanayake	Nil	Nil
Mr. Shiron Gooneratne	Nil	Nil
Mrs. Dilukshika Fernando	Nil	Nil
Mr.Yudhishtan Kanagasabai (Appointed w.e.f 18th July 2024)	Nil	N/A

19. Twenty Largest Shareholders as at 30 September 2024

Name of Shareholder	No of Shares	%
1 Kegalle Plantations Limited	26,685,001	40.29%
2 Richard Pieris Distributors Limited	17,790,001	26.86%
3 Richard Pieris And Co Ltd - Account No. 01	15,125,001	22.84%
4 Mr.D.G.Wijemanna	1,734,588	2.62%
5 Mrs.T.T.A.De Silva Weerasooria	1,101,076	1.66%
6 Mr.C.S.N.Silvapulle	668,399	1.01%
7 Mr.B.T.De S Weerasooria	257,678	0.39%
8 T R L Holdings (Pvt) Limited	253,362	0.38%
9 Mr.J.P.Paul	252,285	0.38%
10 Mr.A.P.Arumugampillai	197,000	0.30%
11 Mr.R.P.Weerasooriya	196,980	0.30%
12 Mr.D.P.Navaratnam	180,000	0.27%
13 Mr.S.A.Obeyesekere	103,300	0.16%
14 Trading Partners (Pvt) Ltd	100,000	0.15%
15 Flybrunei Sdn Bhd	99,700	0.15%
16 Mr.T.A.N.Gomis	98,675	0.15%
17 Mr.M.L.A.Benedict	93,500	0.14%
18 Peoples Leasing & Finance Plc/Mr.K.	86,531	0.13%
19 Mr.H.A.S.Madanayake	78,300	0.12%
20 Mrs.K.Elankainesan	70,000	0.11%
Others	65,171,377	98.40%
Total	66,230,407	100.00%